

[Subject code-2510000101044003]

VEER NARMAD SOUTH GUJARAT UNIVERSITY, SURAT
BACHLOR OF BUSINESS ADMINISTRATION (BBA)
(FOREIGN TRADE)

Semester - I

Subject	Economics for Managers	Semester	I
Credits	4	Type	MDC

Learning Outcomes: Students shall be able to...

LO1	- To demonstrate how applications of economic theory can improve decision making. - Apply the knowledge of the mechanics of supply and demand to explain working of markets
LO2	- Describe how changes in demand and supply affect markets - Understand the choices made by a rational consumer
LO3	- Explain relationships between production and costs - Define key characteristics and consequences of different forms of markets.
LO4	Understand effect of Inflation in Business policy and managerial Decision

Course Content

Module	Content	Weightage
Unit 1	Introduction to Managerial Economics - Introduction -What Managerial Economics is about? - Definitions of Managerial Economics - Nature & Scope of Managerial Economics - Chief characteristics of Managerial Economics - Significance of Managerial Economics - Fundamental concepts in Managerial Economics (Opportunity Cost, Discounting and Equi-Marginal) - Role & Responsibilities of a Managerial Economist in Business.	20%
Unit 2	Market structure Analysis-I - Perfectly competitive Market ✓ Price Determination under perfect competition ✓ Features of a Perfectly competitive market ✓ Demand curve facing the Firm & Industry under Perfect competition ✓ Equilibrium of the Firm & Industry under Perfect competition	20%

	in Short-run & Long run • Monopoly ✓ Price Determination under Monopoly ✓ Features & causes of Monopoly ✓ Nature of Demand curve & Marginal revenue curve under Monopoly ✓ Price & output under Monopoly in Short-run & Long-run • Price Discrimination ✓ Meaning of price discrimination ✓ Forms of price discrimination ✓ Degrees of price discrimination ✓ Conditions under which Price discrimination is possible & profitable	
Unit 3	Market Structure Analysis-2 • Price Determination under Monopolistic competition ✓ Features of Monopolistic competition ✓ Nature of Demand curve (AR) & Marginal Revenue (MR) curves ✓ Concept of Group Equilibrium - Price & Output determination in short-run & Long Run under Monopolistic Competition • Oligopoly: Features, Kinked Demand Curve, Price Leadership (Types, Characteristics, Advantages)	25%
Unit 4	Production Analysis • Production Function ✓ Meaning & classification of Factors of production ✓ Meaning & significance of production Function-in Business ✓ Cobb-Douglas production function • Theory of production ✓ Concept of Total Product, Average Product and Marginal Product ✓ Law of variable proportions ✓ Returns to scale • Production Function with Two variable Inputs ✓ Meaning & General properties of Iso-Quants ✓ Marginal Rate of Technical Substitution (MRTS) • Optimum Factor combination ✓ Concept of Iso-Cost Lines ✓ Least Cost Combination of Factors (Choice of Inputs) ✓ The Economic Region of production (Ridge Lines) ✓ Expansion path.	25%
Unit 5	Inflation Meaning of Inflation, Causes of Inflation, Types of Inflation (Demand pull and Cost push)	10%

	inflation), Effects of Inflation, Anti-Inflationary Measures.	
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Suggested Readings:

- I. Managerial Economics - Analysis, Problems and Cases - P. L. Mehta, Sultan Chand
- II. Managerial Economics in a Global Economy - Domi-nick Salvatore, Thomson South Western
- III. Managerial Economics: Application, Strategy & Tactics -Moyers, Harris
- IV. Managerial Economics - D M Mithani, Himalaya Publishing House
- V. Essentials of Managerial Economics -P. N. Reddy, Himalaya Publishing House
- VI. Managerial Economics - G S Gupta, TataMc Graw-Hill
- VII. Modern Microeconomics: Theory & Application -H L Ahuja, Sultan Chand
- VIII. Advanced Economic Theory: Microeconomic Analysis -H L Ahuja, Sultan Chand
- IX. Principles of Microeconomics-H L Ahuja, Sultan Chand
- X. Business Economics -H. L. Ahuja, Sultan Chand
- XI. Advanced Microeconomic Theory - M J Kennedy, Himalaya PublishingHouse
- XII. Economics -Paul Samuelson, William Nordhaus, TataMCGraw-Hill

